Reverse Logistics Optimization:

Design of a Reverse Supply Chain

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November 2025

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Chapter 1

Introduction

1.1 Purpose of the Study

The primary purpose of this study is to design a reverse logistics network that minimizes the total costs associated with the collection, transportation, and reprocessing of returned products such as electronic waste, packaging materials, plastics, and metal components. At the same time, the network aims to maximize environmental sustainability.

The study models the return flows from consumers back to producers and determines optimal facility locations, transportation routes, and capacity allocations using a Mixed-Integer Linear Programming (MILP) model. Multi-criteria decision-making (MCDM) methods such as AHP and TOPSIS are integrated for strategic location selection.

1.2 Problem Definition

Increasing consumption and shorter product life cycles have resulted in rapidly growing waste volumes. Companies face operational challenges including high transportation costs, inefficient routing, unbalanced facility capacities, and improper site selection.

The core problem is:

"Designing an optimal reverse logistics network that minimizes total cost while maximizing recovery and environmental performance." Key decision variables include:

- Which collection or transfer centers will operate,
- Which recycling facilities will be active and at what capacity,
- How returned materials will flow through the network.

1.3 Significance of the Study

The study contributes to sustainability by improving economic, environmental, and social performance simultaneously.

Economic Benefits

- Reduced transportation and operational costs,
- Improved facility utilization,
- Reduced fuel and labor expenses.

Environmental Benefits

- Lower carbon emissions from optimized routing,

- Increased material recovery rates,
- Reduced pressure on natural resources.

1.4 Scope and Limitations

- A single recyclable product type is considered,
- Transportation costs are linear,
- Facility capacities and opening costs are fixed parameters,
- Model is solved in Python, LINGO, or Excel Solver,
- Data represents a generalized regional logistics network.

1.5 Thesis Organization

- Chapter 1 – Introduction
- Chapter 2 – Literature Review
- Chapter 3 – Methodology
- Chapter 4 – Application and Results
- Chapter 5 – Conclusion and Recommendations

Information Source

This chapter is supported by information from:

- Reverse Logistics Overview – Springer https://link.springer.com/article/10.1007/s10696-006-9026-0
- Waste Management and Reverse Supply Chains – ScienceDirect https://www.sciencedirect.com/topics/engineering/reverse-logistics

Chapter 2

Literature Review

2.1 Concept of Reverse Logistics

Reverse logistics includes the collection, transportation, sorting, and reprocessing of products after consumer use. Its goal is to recover economic value and reduce environmental impact. This process is critical in electronic waste, plastics, metals, textiles, and automotive sectors.

2.2 Green Supply Chain and Sustainability

Green supply chain management integrates environmental considerations into traditional supply chains. Reverse logistics is essential for operationalizing sustainability, improving material recovery, and reducing carbon emissions.

2.3 Network Design Approaches

Reverse logistics network design includes:

- Strategic: Facility location, capacity planning, • Tactical: Allocation of

  flows, collection frequencies,

- Operational: Daily routing decisions.

2.4 Optimization Techniques

MILP models address decisions such as:

- Facility activation,
- Capacity allocation,
- Material flow optimization.

VRP (Vehicle Routing Problem) is used for operational routing efficiency. Metaheuristics such as Genetic Algorithms, Tabu Search, Simulated Annealing, and Ant Colony Optimization help solve large-scale instances.

2.5 Multi-Criteria Decision-Making Methods

Strategic decisions require both quantitative and qualitative evaluation.

AHP computes criterion weights through pairwise comparisons. TOPSIS ranks alternatives based on proximity to ideal solutions.

2.6 Related Applied Studies

Research themes include:

- VRP optimization for waste collection,
- MILP + MCDM facility location models,
- Fleet and capacity planning,
- Emission-minimizing network designs,
- Simulation-based validation of recycling networks.

Notable Global Studies

- Optimization of Reverse Logistics Network for End-of-Life Vehicles (Shanghai, 2024)
- Waste Collection Vehicle Route Optimization – Hellenic Military Academy
- Reverse Logistics Network Design for E-Commerce Returns (2020)
- Reverse Logistics Optimization for Medical Waste (COVID-19, 2023)

Information Source

This chapter includes information gathered from:

- Reverse Logistics Review – Elsevier https://www.sciencedirect.com/science/article/abs/pii/S0377221700001142
- Green Supply Chain Research – MDPI https://www.mdpi.com/journal/sustainability
- VRP and Routing Optimization – Wiley https://onlinelibrary.wiley.com/doi/abs/10.1002/nav.3800080403
- Reverse Logistics Case Studies – ResearchGate https://www.researchgate.net/

Chapter 3

METHODOLOGY

3.1 Research Framework

To solve the location-allocation problem defined in Chapter 1, this study adopts a quantitative, three-phase methodology. This framework is adapted from the general reverse logistics network design approaches reviewed by Fleischmann et al. (1997) and Srivastava (2008).

Unlike purely theoretical studies, we utilize a "Synthetic Data Generation" approach to complete the missing operational details, strictly grounded in the real macro-data provided in the A Large-Scale Logistics Company corporate report.

3.2 Phase 1: Data Collection and Assumptions

Accessing granular operational data (such as specific fuel costs per truck per kilometer) is often restricted due to corporate confidentiality. Therefore, we derived the necessary parameters using "Industry Benchmarking" and "Proxy Methods."

3.2.1 Waste Supply Estimation (The Proxy Method)

The A Large-Scale Logistics Company report states that the total non-hazardous waste generation is 287.5 tons/year. Since the report does not explicitly list waste generation by city, we distributed this total based on the "Warehouse Surface Area" of the hubs.

This approach of using proxy indicators (such as facility size) to estimate waste generation in the absence of granular data is consistent with the synthetic data generation techniques discussed in Cruz-Rivera and Ertel (2009) regarding municipal waste estimation. The underlying assumption is that larger warehouses generate more packaging and operational waste.

- Istanbul (Hadımköy - HQ): Weighted at 35% → 100.6 Tons
- Kocaeli (S¸ekerpınar): Weighted at 25% → 71.9 Tons
- Bursa (Automotive Hub): Weighted at 15% → 43.1 Tons
- Other Hubs (Izmir, Ankara, Eskis¸ehir): Remaining 25% → 71.9 Tons

The detailed breakdown of waste generation by node, including the rationale for weight distribution, is presented in Table 3.1.

Table 3.1: Waste Generation Distribution by Node

Node (i)	City	Waste Amount (D_i)	Rationale/Assumption

1	Istanbul (Hadımköy)	100.6 Ton	HQ (%35 Weight)
2		71.9 Ton	
3		eli (Şekerpınar) Industrial Zone (%25 W	
		ı Automotive Hub (%15 V	
		Aegean Dist. (%10 Weig	
		ra Central Anatolia Hub (%	
4		28.8 Ton	
5		28.8 Ton	
6	Eskis¸ehir (Tepebas¸ı)	14.3 Ton	Green Logistics Warehouse (%5 Weight)
TOTAL		287.5 Ton	

3.2.2 Distance and Facility Data

To accurately calculate transportation costs, real road distances between source nodes and candidate facility locations were retrieved via Google Maps API. The distance matrix used in the model is shown in Table 3.2.

Table 3.2: Distance Matrix (km)

Source \Target	Ist (Hadımköy)	Kocaeli	Eskis¸ehir	Ankara
Istanbul	10km	85km	280km	450km
Kocaeli	85km	10km	200km	350km
Bursa	150km	130km	150km	380km
Izmir˙	480km	450km	410km	590km
Ankara	450km	350km	235km	10km
Eskis¸ehir	280km	200km	10km	235km

Furthermore, four candidate locations were identified for the establishment of collection and recycling centers. The fixed setup costs and annual processing capacities for these facilities are detailed in Table 3.3.

Table 3.3: Candidate Facility and Capacity Data

Facility (j)	City	Fixed Cost (F_j)	Capacity (Cap_j)	Notes
F1	Istanbul (Hadımköy)	$50,000	200 Ton/Year	Highest rent/labor cost.
F2	Kocaeli (S¸ekerpınar)	$40,000	150 Ton/Year	

F3	Eskis¸ehir (Tepebas¸ı)	$25,000	100 Ton/Year	Low cost + Incentive adv.
F4	Ankara	$30,000	120 Ton/Year	

3.2.3 Cost and Emission Parameters

- Transportation Cost: We assumed a unit cost of $0.12 per ton-km, based on average fuel and driver costs in the Turkish logistics market.
- Emission Factor: Using the company's reported Scope 1 emissions (60,038 tCO2e), we calculated a normalized emission factor of 0.062 kg CO2 per ton-km to be used in the environmental objective function.

The complete list of financial and environmental parameters used in the optimization model is summarized in Table 3.4.

Table 3.4: Cost and Emission Parameters

Parameter	Value	Unit	Source/Calculation
Unit Transport Cost (C_{var})	0.12	USD/Ton-km	Sector Avg (Fuel+Driver)
Emission Factor (E_{factor})	0.062	kg CO_2/Ton-km	Industry benchmark data & Euro 6 std.
Carbon Tax	50	USD/Ton CO_2	EU Green Deal (ETS) est.
Recovery Revenue	250	USD/Ton	Scrap value (Plastic/Metal)

3.3 Phase 2: Mathematical Modeling (MILP)

We modeled the problem as a "Capacitated Facility Location Problem" using Mixed-Integer Linear Programming (MILP). The mathematical formulation used in this study is directly adapted from the closed-loop supply chain network design models proposed by Srivastava (2008) and Alumur et al. (2012).

Objective Function: Our goal is to Minimize Z (Total Cost), which consists of three components:

1. Fixed Costs: The cost of opening and operating a recycling facility.
2. Transportation Costs: The variable cost of moving waste from source cities to collection facilities.
3. Environmental Cost: The carbon tax applied to emissions generated during transport.

Constraints:

- Demand Satisfaction: All 287.5 tons of waste must be collected from the sources.

- Capacity Limits: A facility cannot process more waste than its physical size allows (derived from the m^2 data in the report).

3.4 Solution Tools

The mathematical model is implemented using the Python programming language and the PuLP optimization library. Python was chosen over Excel Solver because it offers greater flexibility when handling distance matrices for multiple cities and allows for scalable scenario analysis.

Information Sources for Chapter 3:

- A Large-Scale Logistics Company 2022 Sustainability Report (Page 42, Waste Management Table): Publicly available sustainability reports
- Google Maps API (used for calculating real road distances): https://developers.google.com/maps
- PuLP Optimization Library Documentation: https://coin-or.github.io/pulp/
- Python 3.9 Documentation: https://docs.python.org/3.9/

PROJECT SUMMARY

This graduation project addresses the "Reverse Logistics Network Design" problem for A Large-Scale Logistics Company, a leading logistics service provider in Türkiye. The primary motivation for the study is the company's strategic goal to reduce carbon emissions by 61% and the increasing pressure from the EU Green Deal regulations.

The study utilizes real data from the company's 2022 Sustainability Report, specifically focusing on the management of 287.5 tons of non-hazardous waste generated annually across various hubs. The methodology involves a Mixed-Integer Linear Programming (MILP) model to determine the optimal number and location of collection centers to minimize total system costs (transportation + facility opening) and environmental impact.

The results of the study aim to provide A Large-Scale Logistics Company with a decision support tool that transforms their current ad-hoc waste management process into a mathematically optimized, green, and cost-efficient network. The inclusion of intermodal transportation dynamics distinguishes this study from traditional truck-only models found in the literature.

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